

Data Center Geographic Distribution

Data centers concentrate where several factors align: reliable and affordable power, low-latency fibre networks, a skilled technical workforce, political stability, tax incentives, and (increasingly) cool climates that reduce cooling costs. The following figures approximate shares of global installed IT capacity as of 2025; AI-driven construction is shifting the percentages rapidly.

Region	Share (%)	Key concentrations
United States	~35%	Northern Virginia (Ashburn) is the single largest data center market on earth, hosting the densest concentration of hyperscale and colocation capacity. Other major clusters: Dallas-Fort Worth, Silicon Valley, Chicago, Phoenix, Atlanta, Seattle.
Canada and Mexico	~4%	Canada: Toronto, Montreal (cheap hydro), Vancouver. Mexico: Queretaro, Mexico City, Monterrey (growing nearshore hub).
Central and South America	~3%	Brazil (São Paulo) is the dominant market; smaller but growing presence in Chile, Colombia, and Argentina.
European Union and UK	~22%	Amsterdam, Frankfurt, Dublin, London, and Paris form the “FLAP-D” tier-1 cluster. Nordics (Stockholm, Helsinki) attract hyperscale operators with cold climate and renewable energy.
Russia	~2%	Moscow dominates; data sovereignty laws require Russian user data to be stored on Russian soil, driving domestic investment by Yandex, Sber, and state operators.
China	~15%	Beijing, Shanghai, Shenzhen, and Guangzhou are the primary markets. The government’s “Eastern Data, Western Computing” initiative is shifting new capacity westward to Guizhou and Inner Mongolia where power is cheaper and cooler climates reduce cooling costs.
Southeast Asia	~6%	Singapore is the regional hub, though land and power constraints have pushed expansion to Johor Bahru (Malaysia), Jakarta (Indonesia), Bangkok, and Ho Chi Minh City.
India and Australia	~7%	India: Mumbai, Chennai, Hyderabad, Pune — fastest-growing major market, driven by domestic digital adoption and government data localisation push. Australia: Sydney, Melbourne — serves as the regional hub for the Pacific and complies with strict data sovereignty requirements.
Rest of world	~6%	Middle East (UAE, Saudi Arabia investing heavily in AI-scale campuses), South Africa (Johannesburg), Japan, South Korea, and other markets.

Latency and data sovereignty are the two forces that decentralise capacity away from the dominant US and EU clusters. Users experience roughly 1 ms of round-trip latency per 100 km of fibre; a user in Mumbai served from Virginia experiences 150–200 ms, which is perceptible in interactive applications. Simultaneously, regulations in the EU (GDPR), India, Russia, China, and elsewhere mandate that certain categories of data remain within national borders, requiring local infrastructure even when economics would favour consolidation.